AGENDA ITEM 3

REPORT

Southern California Association of Governments
October 26, 2026

To: RHNA - Regional Housing Needs Assessment Subcommittee

EXECUTIVE DIRECTOR'S APPROVAL

From: Kevin Kane, Planning Supervisor (FSA)
213-236-1828, kane@scag.ca.gov

Subject: Regional Housing Needs Determination for the SCAG Region

RECOMMENDED ACTION:
Recommend that the CEHD and Regional Council object to the Regional Housing Needs Determination issued for the SCAG region on October 15, 2026, by the California Department of Housing and Community Development on the basis that their use of cost-burden data is not a reasonable application of the methodology and assumptions determined pursuant to Government Code Section 65584.01(b).

STRATEGIC PRIORITIES:
This item supports the following Strategic Priority 3: Spur innovation and action through leadership in research, analysis and information sharing. 2: Be a cohesive and influential voice for the region. 1: Establish and implement a regional vision for a sustainable future.

EXECUTIVE SUMMARY:
On October 15, 2026, the California Department of Housing and Community Development (HCD) issued its determination of the SCAG region's housing need for the 7th cycle Regional Housing Needs Assessment (RHNA) pursuant to Government Code Section 65584.01 et seq. The department's Regional Housing Needs Determination (RHND) for the region is 1,359,750 housing units, spread across six income categories.

The RHND follows several weeks of staff-level consultation. While the RHND reflects a clear, high-quality, data-driven approach, there is one unresolved component related to the consideration of cost-burden that staff considers an "unreasonable application of the methodology and assumptions" per Section 65584.01(b), meriting an objection from SCAG. To accurately assess cost burden requires economic analysis and modeling that are currently unavailable. In the absence of these tools, HCD adds an additional housing unit supply target to the RHND, but one that does not establish a clear connection to reducing this important indicator of pent-up demand. Staff recommends an objection on this point and presents options to the subcommittee for a proposed alternative RHND, which is a required part of the objection.